

For example,



Petrol car makers must compare their value proposition with that of diesel and gasoline car makers.



Tea sellers should compare their proposition with coffee sellers.

They should understand what gains are being created or what pains are being relieved. This will help sellers identify the buyers for their products and also make changes to the products to attract more buyers.

At the business level, firms are fighting among themselves on who would create the strongest value proposition.

At the business level, firms must compare themselves and their offerings to those of other firms within the same industry as well as firms in substitute product industries. Substitute products are those that can be used in place of another. The firm can then decide which customer to focus on, which customer not to focus on, and how it should alter its products and services to better match the customer's gains and pains.

